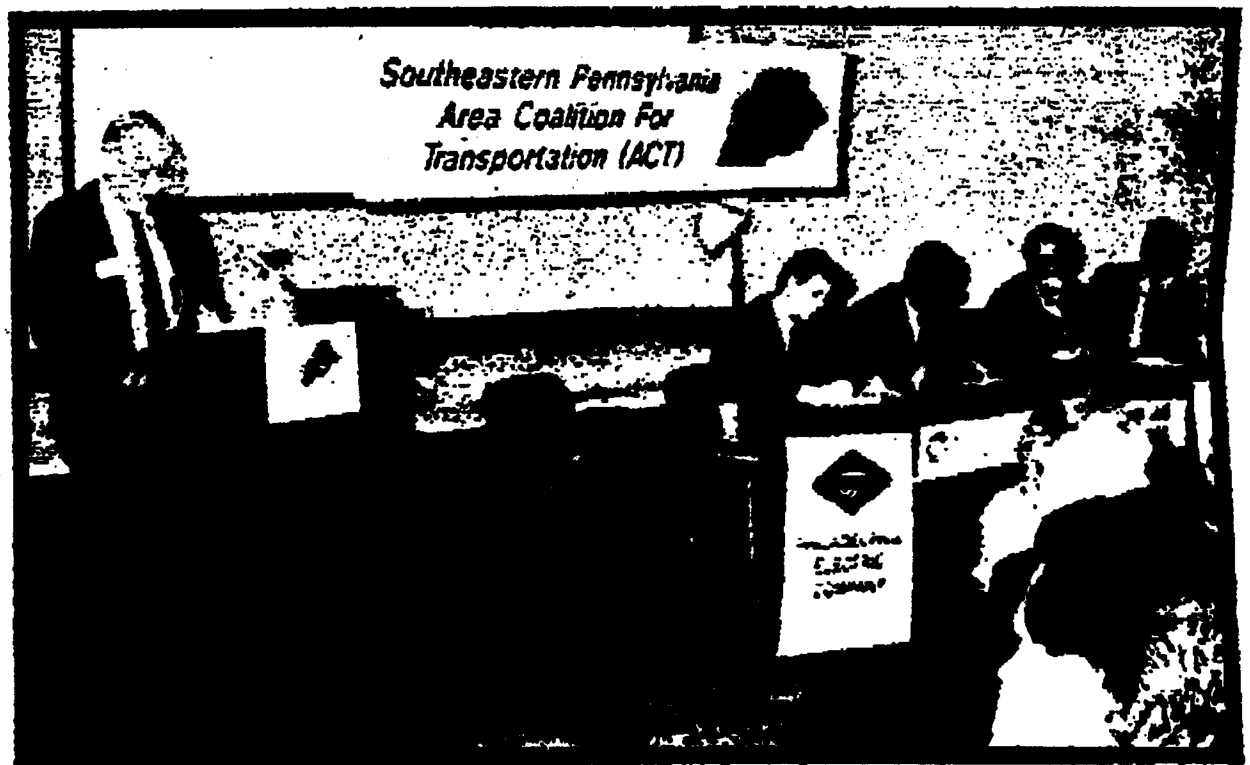
Southeastern Pennsylvania Area Coalition for Transportation (ACT)
P.O. Box 36, Philadelphia, Pa. 19105

MARCH 1991

STATE LEGISLATORS PLEDGE THEIR SUPPORT FOR DEDICATED FUNDING

At the Coalition meeting on February 27th, State legislative leaders pledged their support for legislation providing a dedicated funding source for public transportation systems in the Commonwealth. State Representative Robert O'Donnell (Phila.), Speaker of the House, State Senator Vincent Fumo (Phila.), Minority Chairman of the Senate Appropriations Committee, and State Representative Matt Ryan (Delaware), Minority Leader of the House, told Coalition members that they would work for passage of a tax package, to be introduced in the coming weeks, that includes dedicated funding for mass transit, as well as monies for highways and/or other statewide needs.



Sen. Vincent Fumo, ACT Co-Chair Rev Bill Moore, House Speaker Bob O'Donnell, and Rep. Matt Ryan listen while ACT Co-Chair Jack Miller addresses coalition members at February 27th meeting.

According to Representative O'Donnell, although State funding for mass transit has increased in recent years, the money provided has been "less than adequate." All three legislators expressed their long-time support for public transportation and for working with the Coalition to secure dedicated funding. They cautioned, however, that dedicated funding most likely means a tax increase, and that taxes must also be raised this year to meet a projected deficit in the State's budget.

The meeting was attended by approximately 150 Coalition members. Jack Miller, Co-Chair of the Coalition and the Chairman and CEO of Provident Mutual Life Insurance Company, opened the meeting with a plea to the Governor and the General Assembly: "The time has come for you to hear a very strong message from this organization . . . Some of the greatest assets of this Commonwealth -- the SEPTA system and the other public transportation systems throughout the State -- are being strangled by a lack of predictable funding and a failure to recognize that these systems must have

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DEDICATED FUNDING -- HOW DO OTHERS DO IT?

In the February newsletter, we explained the term "dedicated funding" and why it is needed by SEPTA. As promised, in this issue we describe the dedicated funding sources received by other systems throughout the country.

The most common sources are payroll, property, gas and sales taxes, and can involve one tax or a mix of several. For example:

- New York City: A comprehensive dedicated funding package of seven taxes was expected to generate more than $950 million in fiscal year 1990 for the Metropolitan Transit Authority (MTA). The sources include: a sales and use tax levied in the 12-county MTA region; a state-wide gross receipts tax assessed on distributors; a long lines communications tax; a state corporate franchise tax surcharge; two mortgage recording taxes levied in the MTA region; and an urban mortgage tax assessed in New York City.

- Chicago: A one percent and .25 percent county sales tax generated approximately $418 million in 1988. To this amount, the state added a 25 percent annual match. In addition, in 1989, the Illinois legislature increased the gasoline tax by six cents, which will provide $1 billion over five years for improvements to the system.

- Atlanta: The proceeds from a one percent local sales tax on retail goods and motor fuel sales are divided equally between the operating and capital budgets of the public transportation system. This tax was estimated to raise [illegible] million in fiscal year 1990.

- Maryland: As part of its contribution to the Washington Metropolitan Area Transit Authority, the state levies a property tax of 15.5 cents per $100 of assessed value. This generates approximately $10 million per year.

- Portland: In addition to a $6 per $1,000 payroll tax, a nuisance tax of one cent per pack of cigarettes is levied. The two generated $52.53 million in fiscal year 1988. This past November, Portland-area voters accepted an increase in personal property taxes to help pay for extending their light rail system.

Buffalo: After a two-day system shut down, Buffalo's real estate transfer tax was raised and a portion of the local sales tax earmarked for mass transit. However, it was still necessary to cut service, lay off bus drivers and increase fares.

Other areas that received new or expanded dedicated funding sources as a result of the November, 1990 elections include:

- Summit County, Ohio: A .25 cent sales tax, which will replace two existing property taxes, is expected to generate $9 million in its first year for the Metro Regional Transit Authority. It is estimated that this tax will cost the average family less than 70 cents per week.

- California: In Orange County, a half-cent sales tax will provide $85 million for commuter rail projects. Los Angeles voters also passed a half-cent sales tax dedicated to transit, which is expected to raise $400 million in annual revenues.

All of the above dedicated sources of funding are taxes, the proceeds of which are used exclusively for transportation purposes. However, a dedicated source does not have to be a tax. There are other options.

Pennsylvania has the authority to issue general obligation bonds, which are supported by state tax proceeds. (Although SEPTA has the power to issue its own bonds, the Authority would need a predictable revenue stream to repay bondholders.) The State presently funds some SEPTA capital projects from the proceeds of these bonds and could dedicate an increased portion of the proceeds for SEPTA projects.

Also, the State could guarantee that SEPTA receive a multi-year appropriation, beyond the State's present contribution, but political realities may prevent one Administration from obligating a future Administration to such payments.

There is no magic to a particular funding source. What works will vary with the particular system and our challenge is to devise the right mix for SEPTA.

TELL YOUR ELECTED OFFICIALS

*** By the year 2005, delays due to congestion will increase five-fold. A worker entering the U.S. workforce today can look forward to spending two years of his or her work life stuck in traffic.***

*** A full bus takes 40 autos off the road, eliminating over 60 tons of pollutants they produce a year.***

CASEY RELEASES BUDGET PROPOSAL SILENT ON DEDICATED FUNDING

On February 6, Governor Casey released his proposal for the State's fiscal year 1992 budget. It calls for a total state budget of $24.7 billion and makes no recommendations for providing public transportation systems with a dedicated funding source. This failure to address the capital funding needs of the Commonwealth's public transportation systems is most disappointing. As SEPTA General Manager Louis J. Gambaccini has repeatedly stated, if the mounting infrastructure problems are not soon addressed, then it is unlikely that SEPTA will be able to continue to operate its aging and deteriorating system.

Under the Governor's proposal, operating assistance to SEPTA would remain at its fiscal year 1991 level of $164.5 million. (The Governor's cut of $4 million from SEPTA's budget midway through this year is restored in the 1992 budget.) SEPTA would also receive $23.5 million in Vehicle Overhaul Funds (down from $56 million last year) on a 50/50 match basis, meaning local governments must provide the other $23.5 million.

The most significant impact on SEPTA's operating budget would be a proposed restructuring of the State's Lottery Program. Currently, public transportation systems are reimbursed for free transit trips at the base fare or average fare, whichever is greater. Under the Governor's proposal, reimbursement would be made for whichever is lower. As a result, SEPTA's Senior Citizen Grant could be reduced by as much as $23 million.

COALITION MEMBERS URGE GOVERNOR TO SUPPORT MASS TRANSIT

We want to thank the many Coalition members who responded to our request in the December "Update" to write Governor Casey and urge his support for public transportation. Public transportation has never before had a voice in Harrisburg with the breadth and depth of the Coalition. It is essential that we redouble our efforts this spring to let our elected officials know that there is a vocal constituency supporting better funding for public transportation in Pennsylvania.

ACT WELCOMES ITS 700TH MEMBER

Ian Hemphill of Philadelphia became the Coalition's 700th member. ACT's membership now includes more than 350 individuals and nearly as many organizations. Our power is in numbers – urge your friends and co-workers to join ACT now!

Please sign me/my organization up as a member of the Southeastern Pennsylvania Area Coalition for Transportation (ACT).

Name ______________________________

Address ______________________________

____

Day Phone ______________ County ______________

Organization ______________________________

Address ______________________________

(Mail to ACT, P.O. Box 36, Philadelphia, Pa. 19100)

Legislators Pledge Support

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capital funds if they are to survive."

Reverend William Moore, Coalition Co-Chair and Pastor of Philadelphia's Tenth Memorial Baptist Church, noted that "In the budget message earlier this month, the Governor made *no* recommendation for providing the State's mass transit systems with a dedicated funding source. I find this very disappointing in light of the extensive needs of the system."

The pledge has been made by our legislative leadership to fight for dedicated funding. Once a tax package is introduced, we will be calling upon you to write letters and make phone calls to

House Speaker Bob O'Donnell addresses Coalition members at the February 27th meeting.

your legislators to support the proposal. The legislative leaders at the meeting heard our voices and witnessed our resolve and must make sure that they we continue to listen throughout the coming months and that we strongly support their efforts.

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